SENIORS UNITED NOW
PENSION POSITION PAPER
NOVEMBER 8, 2017

THE ISSUE:

Alberta pensioner's annual cost of living adjustment is currently based on only 60% of the Canadian consumer price index. In 2017 their pensions will increase by 0.78%, which in dollar amounts would be about $11.50 per month based on an $18,000 annual pension. The Alberta Provincial Government promised cost of living adjustments to be comparable to the Canadian Consumer Price Index. Unfortunately, it has not kept this promise.

In the past a great disservice was done to public service employees who paid pension contributions to the Provincial Government. For many years their pension contributions did not go into a pension fund, but instead these funds were placed into general revenue and in turn were spent on roads, bridges, schools, parks and other government building. The government of the day justified this decision by advising the government workers, you do not need a vested pension fund because you will always receive your pension benefit as the Government of Alberta will never be bankrupt.

COST OF LIVING ADJUSTMENT STANDARDS SET BY OTHER PROVINCES;

Following is a summary, obtained from an internet search, which outlines the COLA adjustment implemented by some of the other Provincial Governments;

British Columbia, over the last 25 years (except for one year) has provided COLA adjustments which provide increase at 100% of the Canadian Consumer Price Index.

Manitoba, COLA is base on 2/3 of the C.P.I.

Ontario appears to be 100% of the C.P.I.

Quebec pensioners, over the age of 65 receive 100% of the C.P.I.

Newfoundland/Labrador, COLA is adjusted October of each year to 60% of the C.P.I.

New Brunswick has a "Shared Risk Pension Model", as pension returns increase the higher the COLA is adjusted.

The Canada Pension Plan provides COLA at 100% of the C.P.I.

When Alberta M.L.A.'s had a pension plan (some of them are still drawing these pensions today) it increased by either 100% of the Alberta Weekly Earnings, (eg. Year 2010 would grant a 4.54% increase) or 100% of the C.P.I.

BACKGROUND INFORMATION ON THE LOCAL AUTHORITIES BOARD.

These following statements are quoted from the Local Authorities Board website;

“LAPP’s primary goal is to provide a lifetime benefit to its members and prepare for challenges ahead” It doesn’t mean LAPP is in crisis because it is not; the plan is strong and well managed.

“Lapp is seeking input and feedback from as many stake holders as possible” “Currently the guidance structure is flawed, placing all the risk in the hands of the employees and employers who fund the plan, while giving them no power to oversee plan administration, plan investments and / or plan design. Lapp’s Board believes that governance must be addressed on a priority basis and continues to push government for change!”

The Board completes a risk management assessment of LAPP which it has a mandate to share with the Treasury Board and Minister of Finance who is Trustee and Administrator of the Plan. At the suggestion of the Auditor General of Alberta, the Minister has been advised to develop a risk management framework that will assess the management of risk for all public-sector plan in Alberta.

UNFUNDED PENSION LIABILITY AND ALBERTA INVESTMENT MANAGEMENT CORPORATION INVESTMENTS

The previous Alberta Government eventually recognized a need to not pay pensions out of general revenue and was prudent in establishing a vested pension plan. Currently our Alberta Heritage Fund and our Pension Funds are invested by A.I.M.co. In the year 2008, the unfunded pension liability was at 25%, since A.I.M.co took over the pension investment, the income profits continue to grow at a rapid pace, most years producing double digit increases. The pensions are now 98% funded.

EFFECTS ON RETIRED SENIORS
(PUBLIC SERVICE PENSION AND LOCAL AUTHORITES PENSION PLANS)

As previously stated, the original promise made by the Alberta Government was to provide an annual pension increase comparable to the Alberta Consumer Price Index. 60% of Canadian Consumer Price Index which the pensioners receive is not comparable to the C.P.I.

Unfortunately, the current design of the Public Service Pension Plans creates a disparity between the lower income and higher income plan members. Lower income members receive a smaller % dollar amount of their retirement income than those at the higher end of the pay scale. This causes many of the pensioners to fall below the poverty line which requires them to rely on Alberta Government social assistance to survive. This also has an impact on provincial budgets.

Currently, as previously stated, their average monthly $11.50 increase would only pay for two or three days of the 2013 Alberta Government long term care increase.

A few years ago, it was surprising to see that an A.I.S.H. recipient can receive up to $7,000 per year more than an average Public Service Pensioner who may have contributed to their pension plan for 30 to 35 years.

PREVIOUS GOVERNMENT PENSION CHANGES

It may be difficult for some governments to implement changes, but it has been done in the past. It is interesting to note that simply with a stroke of a pen, the previous government provided funding to eliminate the Seniors Managers’ unfunded pension liability. As well, prior to the last provincial election, the previous government was expedient in eliminating the Teachers unfunded pension liability.

SUGGESTED ACTION AND RESULTING BENEFITS

Having past pension contributions go to general revenue and not into an established pension plan, has probably lead to the previous unfunded liabilities. This in turn resulted in harmful regulation changes, which unfortunately downgraded original pensions increases promised, resulting in a very negative impact on pension benefits in the areas of Cost of Living Adjustment, Spousal benefits and the pension calculation formula to name a few.

We respectfully ask for the Minister to consider changing the current LAPP plan to incorporate annual increases to 100% of CPI.